

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>\$200B) · Report Date: July 20, 2026

Latest financials: Q2 FY2025 · Model data as of 2026-07-20

UNDERWEIGHT

Composite · Valuation: SELL

Target \$341.87 · -14.2% upside

Price \$398.31

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$341.87 (-14.2% vs \$398.31); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT \$341.87	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BEARISH	Bearish	20%
Quantitative	NEGATIVE	Score -0.70 · 12m -21%	15%
Composite	UNDERWEIGHT	Score -0.37 · 75% confluence	—

Fundamental and technical both bearish; solid financial statement profile.

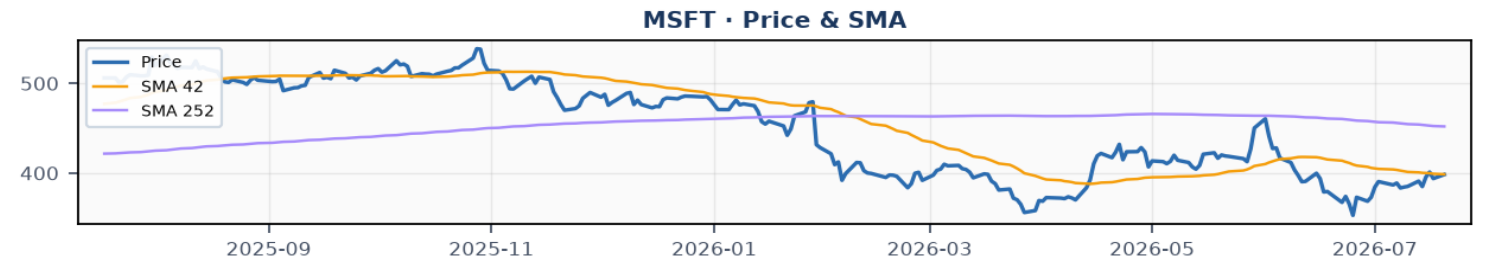
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **SELL** rating; blended target \$341.87. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.96T	Shares Out.	7428.4M
52-Week Range	\$349.20 – \$555.45	P/E (TTM)	23.7x
P/B	7.1x	Beta	1.13
Avg Volume	39.56M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	\$71.61B
Gross Margin	68.3%	ROE	34.0%
EV/EBITDA	16.1x	Debt/Equity	30.3%
EPS (TTM)	\$16.78	Div Yield	92.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income (\$M)	88,136	101,832	120,467	136,803	150,814
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
EPS (\$)	11.86	13.71	16.22	18.42	20.30
P/E (x)	33.57	29.06	24.56	21.63	19.62

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$398.61	Short-term trend	12m Momentum	-21.3%	
SMA (252d)	\$452.00	Long-term trend	3m Momentum	-4.5%	
RSI (14d)	69.8	Momentum oscillator	Ann. Volatility	27.1%	
Trend	Bearish		Sharpe Ratio	0.16	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-36.5%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$398.61, SMA252=\$452.00	Quant Score	-0.70	NEGATIVE
			SMA Backtest (ann.)	7.2%	B&H; 12.3%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$210.48	-47.2%	0% (excluded)	Diverges below other methods (47% of median)
Comps — Blended	\$341.87	-14.2%	100%	Included in blend
Analyst consensus	\$557.79	+40.0%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target	\$341.87	-14.2%	100%	Comps 100%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.21%	4.00%	9.15%	\$1.56T	\$210.48	-47.2%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$350.64B	20.9x	16.6x	25.4%	+20.6%
CRM	Salesforce, Inc.	\$140.26B	19.9x	13.2x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$105.32B	60.8x	35.9x	12.6%	+22.1%
IBM	International Business	\$198.92B	18.7x	15.5x	15.6%	+9.5%
MSFT*	Microsoft Corporation	\$2.96T	23.7x	16.1x	39.3%	+18.3%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (18.3% YoY); High operating leverage (46.3% margin); Sector: Technology | Industry: Software - Infrastructure - Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.